Another way to think about this experience is to focus on the two big booms. There was an investment boom in the 1990s which led up to a credit crisis in the late 1990s. And, there was an investment boom during 2003–08. India of the recent decades is a tale of two booms and three downturns. This chapter is about doing public policy in the depth of these downturns.

## The problem of administrative boundaries

Ordinarily, financial regulators think about one financial firm at a time, focusing on consumer protection and micro-prudential regulation of this firm. In the present Indian financial regulatory architecture, this involves RBI looking at banks, SEBI looking at mutual funds, etc.

The essence of macroeconomic/financial crises is complex interactions running across the entire financial system. As an example, a critical feature of the 2008 crisis was the interplay between mutual funds, NBFCs and the real estate business. Relationships between markets and firms, that cut across administrative boundaries, are often not understood by sectoral regulators. Understanding and defusing financial crises requires an ability to understand the whole financial system—seeing the woods for the trees.

The FSLRC proposal involves the establishment of a ‘Council of Regulators’, the Financial Stability and Development Council (FSDC), which would work on systemic risk regulation and crisis management. FSDC would have board members who are the chairpersons of financial agencies (thus bringing all the knowledge and decision-making capacity into the room), and a technical secretariat which develops data sets and skill in thinking about systemic risk. In the absence of the FSDC technical secretariat, the task of systemic risk analysis and crisis management takes place at the Department of Economic Affairs, supported by its associated research institutions.